



Unit 8: Project Closure

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1. Project Closure

Introduction to the Unit

In this unit, we will learn about the *Closure* or *Close-Out Phase*, which is the last phase of the project management life cycle.

Some of the concepts that we will examine closely in this unit include *Installation of Deliverables*, *Major Stakeholder Approval and Sign Off*, *Project Post Review* and *Project Audit and Report*.

Objectives

Upon completion of this unit, you will be able to:

- Describe the project closure phase
- Identify the various activities that characterise closure



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Objectives

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- Describe the project closure phase
- Identify the various activities that characterise closure

Introduction

In the last segment, we learned about the concept of motivation and the various strategies that a *Project Manager* can employ to motivate his/her team. In this segment, we will focus on project closure, which is the last phase of the project management life cycle during which the *Project Manager* and others conclude the implementation phase of the project and conduct a project audit and post-mortem review.

The project close-out phase is the last phase of any project. It is often neglected as the excitement and enthusiasm level of people is low. Nevertheless, it is an important phase. It brings the project to an orderly close with significant benefits to the organisation and also for any future project. Here, it must be noted that no one remembers an effective start-up but everybody remembers an ineffective closure.

Installing Deliverables

Once the project has been completed, the next step is to hand over the product or service to the client. Typically, this phase of the project is called the installation or the implementation phase. Depending upon the project type and/or the product or service that was delivered, the installation phase may be handled primarily by an implementation manager or by a field engineer.

Implementation phase

The main responsibility of the implementation manager or field engineer is to ensure that the project is properly implemented at the client site. Additionally, a group of professional *trainers* may assist the implementation manager to ensure that end users have hands-on experience with the new product or the delivered service before they start using it in their day-to-day work.

Implementation managers often drive the testing that is conducted by end users in the various phases of the project, before the product is fully implemented and is formally accepted by the firm.

It cannot be emphasised enough that the project is concluded only when:



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- there is a formal sign-off by the client or a major stakeholder stating that the deliverable is *acceptable*,
- the project has been deemed to be satisfactory *and* complete (which includes implementation issues and tasks).

Major Stakeholder Approval and Sign Off

Once the implementation phase is complete, the *Project Manager* will want to ensure that he or she obtains formal *Stakeholder* acceptance. Obtaining *Stakeholder* acceptance by signature and documenting the acceptance is important for:

- receiving any final monetary amounts,
- protecting the contracted company from future legal claims.

In many contracts, final payment for the product is not made until the end product is in service or is in use or has been otherwise approved by some means. This often translates into the project being utilised 100%, or possibly revenue being earned, before the project is judged complete.

For this reason, we can see why prompt attention to *all* requirements during the implementation phase is so critical. Open communication between the *Project Manager* and the field engineer or the implementation manager must be clear, concise and timely. The time for resolving any remaining issues on the project is *now*.

Liquidated damages

If the client is not satisfied with the end result, or feels that the requirements outlined in the contract have not been met, the contracted company could receive *penalties*. Penalties may come in the form of liquidated damages (the damages specified by contract in the event of a breach by one of the contracting parties, typically associated by a monetary exchange).

Liquidated damages may also be driven by deliverables associated with *due dates*. Monetary values can be assigned in part or in whole depending on the manner in which the contract is written regarding the timing of major milestones and project completion. In some cases, the client may assess damages for a percentage of total project costs, on a daily basis.

Project Modification

Not only is obtaining stakeholder acceptance important to the bottom line, but getting signatures from *Stakeholders* signifies the close of a project and indirectly states that the client is satisfied. The danger in not obtaining such approvals or such signatures is that the project is likely to grow or increase in scope at the end.

In many computer application projects, for example, the client is likely to say, 'Could you change the program to perform this task a little differently for us? It should not require much additional work for this *small* change.' This, of course, is a change (increase) in project scope, and if the *Project Manager* is not careful, he/she may be making changes beyond reason to accommodate a client. When they are significant, such changes should become a new project or a *project modification* including a written extension of time and increase in project costs (a contract extension).

In all instances, it is preferable to obtain the required signatures, which confirm that the original project was delivered as required under the original contract terms. If a client is unwilling to provide



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its signature of approval, you can be sure that unresolved issues are still looming, and that the client is not entirely pleased with the end result.

Client Satisfaction Survey

A client's overall level of satisfaction with the project can be assessed in a variety of ways. One of the ways to assess is through the use of a client satisfaction survey. This survey may be particularly important if the end product affects several users and/or the group of key *Stakeholders* comprises several individuals.

Project Post Review

Post-review meetings (also known as *post-mortem* and *lessons learnt* meetings) can and should be held with the project team. This is to focus on areas where issues arose, as well as on those areas where significant accomplishments have been made.

In most cases, post-mortem meetings, as the name implies, occur after the project has been concluded, and 'official' sign-off signatures have been received. However, *mini* lessons-learnt meetings can and should be held throughout the project, depending on the size, to identify and resolve issues before proceeding into a new project phase.

Guidelines for conducting project-review meetings:

Attendance

Depending on the team size, all members may be invited to attend or the meeting might be limited to a subset of team leaders and/or other important individuals.

Facilitator

The facilitator of the meeting should not be the *Project Manager*, but an unbiased third party. The rationale for this is to allow the *Project Manager* the opportunity to participate in the meeting, as well as promote open and honest communication from the rest of the team. If the *Project Manager* is responsible for leading the meeting, others may feel uncomfortable expressing opinions that they feel may compromise the *Project Manager*.

In some sensitive circumstances, the *Project Manager* may even be asked to not attend this meeting or portions of it. This happens when the organisation feels the lack of success in the project was largely due to the *Project Manager's* activity or inactivity.

In addition to having an outside individual facilitate the meeting, it is equally important to assign someone other than the *Project Manager* to take the meeting minutes, as the results of the post review meeting should be shared with all *Stakeholders* in the organisation, as well as archived for future retrieval and analysis, especially if the firm has a PMO (Project Management Office).

In some organisations, reviewing the results of the company's previous lessons learnt at the commencement or kick-off meeting of a new project is a requirement. Doing so helps prevent others from repeating mistakes, as well as encourages implementation of a set of best practices for managing projects.



Format

The format of post-review meetings can be either informal or highly organised. Whichever format is selected, the facilitator should ensure that all phases or areas of the project are reviewed with respect to major issues, accomplishments and recommendations.

Additionally, all team members should be given an equal opportunity to contribute. Just before the conclusion of the meeting, the facilitator should ask each *Team Member* to identify a list of 'top' issues and accomplishments. Choosing three to five from the list in each category or phase of the project life cycle will help implement resolutions to issues more effectively in the future, as well as help incorporate significant accomplishments as best practices for future projects.

Some techniques that encourage group participation in a post-project review meeting are to walk through the various stages of the project—defining, planning, organising, controlling and closing. The responses from participants are documented into major issues and accomplishments during each phase on a white board or a large flipchart.

This helps others to:

- physically envisage issues,
- note major accomplishments, and
- generate new ideas relating to the project's history.

Alternatively, the meeting organiser might send out a document listing questions that will help participants focus and prepare their ideas prior to the meeting. Each participant might be asked to bring their top three to five issues on a post-it-note that they will place somewhere on the surrounding walls during the meeting.

In case of smaller, although perhaps not any less significant, projects, the same document may be sent to team members at the conclusion of a project and gathered for analysis. In face-to-face meetings, or through documented means, the results should always be shared with the entire *Project Team* as well as other key *Stakeholders*. It must also be placed into an archive for future retrieval by members throughout the organisation.

Project Audit and Report

With the product or service finally implemented, the *Project Manager* can wrap up the project by conducting the final project audit and issuing the project report after the:

- product or service has been fully implemented,
- client's level of satisfaction has been assessed, and
- post-mortem review meeting has been conducted.

Conducting a post review meeting can be used to assess the overall success of the project, thus assisting with the final audit. While most people think of conducting audits at the end of a project, they can also be helpful throughout the project's life cycle as a means of establishing that we are *still* on the right track.

Unfortunately, many project managers fail to conduct audits sufficiently throughout the project due to time and cost constraints. Furthermore, final audits and final reports are often left undone due to other project assignments that await many project managers once they have delivered on a project.



Final audit and report

Chapter 12, 'Project Auditing' of the textbook, Meredith, J.R. and S.J. Mantel. *Project Management: A Managerial Approach*. 5th Ed. John Wiley and Sons, 2003, outlines the following goals of the project audit:

- To gauge the current status of the project
- To predict future project trends
- To assess the status of critical tasks
- To assess risk

Information from the client satisfaction survey, lessons learnt and the combination of various project audits or the final audit can all be used to document the final project report.

The final report helps in capturing the project's history, which in turn can be used by future project managers to avoid repeating mistakes. The final report lists the objectives of the project and catalogues the milestones and project deliverables that were met and were accepted by the *Client*. As indicated in the reading above, the content of the final report should include, at a minimum, the following items:

- overall project performance,
- administrative performance,
- organisational structure,
- project and administrative teams, and
- techniques of project management.

Serving as a high-level overview of the project's account, the final report should also detail the dates when each deliverable was sent to the client. The report can be in a narrative form, but must maintain a professional tone.

If sensitive issues occurred on the project, the issues should be detailed, but the subjective opinions should be saved or shared in a separate, confidential report with those who need to be informed. Depending on the nature of the project, it may be important for client signatures to be obtained on this type of report as well.

Final documentation

In addition to preparing the final report, it is also important to archive *all* project files at the conclusion of a project.

Archiving the project

Which five of these files would you include in your project archive?

- Option 1. Meeting minutes
- Option 2. Project schedules
- Option 3. The project management software manuals
- Option 4. Status reports
- Option 5. Communication plans
- Option 6. Organisation travel policies
- Option 7. Promotions and other personnel actions of affected project team members
- Option 8. Risk management plans



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At the conclusion of a project, it is important to archive the following project files:

1. All meeting minutes
2. Project schedules
3. Status reports
4. Communication plans
5. Risk management plans

This also includes documenting where these files have been stored, as you never know when you might be asked to produce some historical information relating to actions that occurred on the project.

Furthermore, all final invoicing should be sent to the *Client*, as well as any final reports that are contractually required.

It is important that we officially close any cost accounting codes that might be associated with this project. This is especially important if our organisation uses project related codes to charge time or materials. We certainly do not want our budget to run over because we forgot to close out the associated accounts after the project was completed.

As well as ensuring that all paper work is properly documented and archived, we will also want to ensure that all *Team Members* are released from their project responsibilities. We will need to inform *Team Members'* managers that their project obligations have been fulfilled and that the *Team Member* is now free to take on new responsibilities.

Ideally, we should give a heads-up notice several weeks prior to project termination or the *Team Member's* release from this project.

Once all of the necessary *close-out* activities are concluded, we can finally take that breath of fresh air and revel in your project's successes. We must take some time to acknowledge each of our *Team Members'* triumphs and successes.

Hosting a celebration party—where the team can be recognised for their individual and overall achievements—will certainly be in order!

Summary

In this segment, you learned that:

- after a project is complete, it is handed over to the client in the implementation or the installation phase;
- the implementation phase is followed by obtained sign off from the major stakeholders;
- project post review is also known as the post-mortem or lessons learned meetings where the project accomplishments and misses are objectively discussed; and
- finally, the project undergoes a final audit followed by archiving for future reference.